

CHIEF INVESTMENT OFFICE

Capital Market Outlook

April 27, 2026

All data, projections and opinions are as of the date of this report and subject to change.

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Macro Strategy—Four Factors that Make the U.S. Economy the Heavyweight of the World: In a world rife with tumult and uncertainty, no economy takes the blows and punches better than the U.S. Through a global pandemic, wars in Europe and the Middle East, inflation shocks, political uncertainty, trade conflicts, supply chain disruptions, one economy has repeatedly demonstrated an unusual ability to take the hits and keep standing, the United States.

The U.S. has added \$9.2 trillion to its nominal gross domestic product (GDP) since the start of 2020, well ahead of China (\$5 trillion), European Union (EU) (\$5.4 trillion) and other nations like Germany (\$1.1 trillion), Japan (-\$0.8 trillion) and India (\$1.1 trillion). Nominal U.S. output totaled nearly \$31 trillion in 2025, or 26% of global output. Amid the tumult of this decade, America's weight in the global economy has gone up, not down. Correspondingly, the S&P 500 Index has produced total returns of 140% since the start of this decade, or 14.9% on a compound annualized basis. Productivity, diversification, wealth and America's entrepreneurial DNA makes the U.S. economy the heavyweight of the world.

Market View—Equities Unfazed by Uncertainty: By some measures, today's investment backdrop ranks among the most uncertain in modern history. And yet, the S&P 500 recently rebounded from the brink of correction territory in just 11 days, erasing a 9% drawdown and reaching a new all-time high above the elusive 7,000 level. With geopolitical tensions unresolved and headline risks simmering, it's reasonable to ask why equity markets have resumed their grind higher. There are a few factors that help to explain this counterintuitive dynamic. Elevated levels of uncertainty often coincide with more cautious investor positioning, higher cash balances, and lower levels of sentiment, all of which can leave stocks under-owned and more responsive to incremental positive news. The resilience also reflects the strength of underlying fundamentals, as earnings and economic data remain broadly positive. Adding it all up, recent market activity suggests that uncertainty alone is not sufficient to derail the secular bull market.

Thought of the Week—Small but Mighty: Why Small-Caps are Leading the Charge: Small-cap Equities have emerged as one of the market's standout performers this year, with the Russell 2000 Index materially outperforming Large-caps amid strong momentum and improving market breadth. Following a brief correction in March, Small-caps rebounded sharply to new highs and should be on pace for its strongest monthly advance since late-2023. A combination of easing energy prices and a domestic revenue tilt has enhanced the macro backdrop for smaller companies. Notably, attractive valuations and signs of a rotation away from mega-cap technology suggest the recent Small-cap leadership may be more durable than a short-term rally.

AUTHORS

Joseph P. Quinlan
Managing Director and Head of Market Strategy

Emily Avioli
Vice President and Investment Strategist

Theadora Lamprecht
Assistant Vice President and Investment Strategist

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Portfolio Considerations

The overall growth outlook remains largely unchanged for now, though a prolonged war could pressure discretionary spending through higher energy, commodity, and food prices. Despite recent volatility, U.S. Equities remain preferred given economic resilience and easing valuations. Fixed Income remains constructive but underweighted to support an Equity overweight, with neutral duration and expectations for range-bound yet potentially volatile yields amid sticky inflation, steady GDP growth, and upcoming Fed leadership changes.

Our sector positioning reflects reduced Utilities exposure after valuation-driven outperformance, continued confidence in resilient consumers, positive outlooks for Financials, and selective increases to Energy.

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Four Factors that Make the U.S. Economy the Heavyweight of the World

Joseph Quinlan, *Managing Director and Head of Market Strategy*

It absorbs punches. It deflects jabs. It bends but rarely buckles. It takes blows that would deck others. And when it takes a swing, it's usually a knock-out punch.

We are talking about the U.S. economy—a heavyweight fighter in a world that keeps throwing punches, jabs and roundhouses. Consider this decade alone: Through a global pandemic, wars in Europe and the Middle East, inflation shocks, political uncertainty, trade conflicts, supply chain disruptions, one economy has repeatedly demonstrated an unusual ability to take the hits and keep standing, the United States.

The U.S. has added \$9.2 trillion to its nominal GDP since the start of 2020, well ahead of China (\$5 trillion), EU (\$5.4 trillion) and other nations like Germany (\$1.1 trillion), Japan (-\$0.8 trillion) and India (\$1.1 trillion). Nominal U.S. output totaled nearly \$31 trillion in 2025, a figure that equates to a global share of total output of 26%, up from 24.3% in 2019. In other words, amid the tumult of this decade, America's weight in the global economy has gone up, not down. Correspondingly, the S&P 500 has produced total returns of 140% since the start of this decade, or 14.9% on a compound annual basis.¹

The first factor: The Making of a Heavyweight: productivity, diversification, wealth, and entrepreneurial DNA. America's ability to roll with the punches reflects its unique underlying strengths, one of which is the simple fact that American workers, in general, are more productive than their global peers. According to figures from the Organisation for Economic Co-operation and Development (OECD), the average American worker generates roughly \$170,000 in economic output per annum, compared with \$120,000 in the euro area, \$118,000 in the UK and \$96,000 in Japan.

American workers (and companies) are more productive because they have more tools at their disposal—think more capital, more cutting-edge technology, more research & development funding, more labor market flexibility, and more abundant and cheaper energy. By leveraging all of these factors, the U.S. economy, with just 4.7% of the world's labor force, produces more than one-quarter of global GDP. It is remarkable how much more productive the U.S. economy is relative to China and India (Exhibit 1A). With a combined labor force of 1.4 billion workers, or nearly 40% of the total, India's and China's aggregated GDP (\$23.5 trillion) in 2025 was nearly one-quarter less than America's total output (\$30.8 trillion).² The bottom line: The U.S. economy remains among the most productive in the world.

A second factor of strength: The U.S. economy is among the most diversified economies in the world—a competitive advantage that allows the economy to absorb and adapt to various shocks. Widely underappreciated by investors, the U.S. economy does many things very well. The U.S. is not just a superpower in such critical sectors as technology, finance and energy, but also a global juggernaut in aerospace and defense, capital goods, agriculture, entertainment and transportation. Whether goods or services—it doesn't matter—the U.S. typically leads.

And then there is the U.S. healthcare industry, which on a stand-alone basis, ranks as the third-largest economy in the world (Exhibit 1B). The key takeaway is that the U.S. economy is the furthest thing from being a one-trick pony. Multiple engines fire the economy, providing more ballast and support in a shock-prone world.

A third factor of U.S. economic strength lies with the fact that the U.S. remains extraordinarily wealthy (Exhibit 1C). Based on the latest figures from the International Monetary Fund (IMF), the U.S.' per capita income (\$90,000) is roughly 50% higher than Germany's and light years ahead of China (\$14,000) and India (\$2,700). Yes, the latter have massive populations, but their labor force remains generally unproductive and therefore poor, unable to generate the consumer demand on the scale of the U.S.

Investment Implications

No economy has absorbed shocks better than the U.S., making U.S. securities among the most attractive in the world.

¹ Figures in this paragraph from the IMF.

² Ibid.

And speaking of scale, the U.S. consumer generates over 30% of global consumption according to the IMF.

In the end, America’s wealth acts as a shock absorber to unexpected downturns or one-off events; it gives the economy the wherewithal to adjust and reset during difficult times versus the immediate constraints to growth in poorer nations.

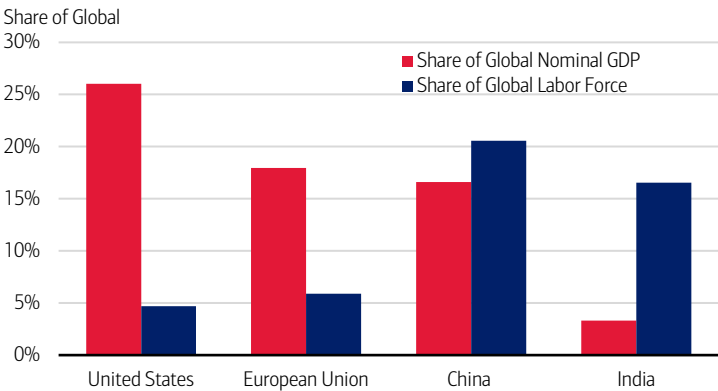
And the fourth factor: America’s unique entrepreneurial ecosystem that encourages and enables the incessant churn of creative destruction between startups and incumbents. America’s economic metabolism is different from the rest of the world. Risk-taking pulsates throughout our economy. No country creates and destroys as manically as America. Our strength lies in starting businesses and letting them fail. Our social and political tolerance for letting companies go under is one of America’s greatest assets. It’s okay to fail in America.

To this point, just since 2000, more than half (52%) of the companies on the Fortune 500 list have gone bankrupt, been acquired or ceased to exist. Take note of Exhibit 1D, which contrasts the top 10 largest U.S. publicly traded companies at the start of this century with today. Of the top firms by market cap, only two companies—Microsoft and Walmart—remain on the list today; the fate of the others has ebbed and flowed with the ever-shifting competitive landscape of the economy.

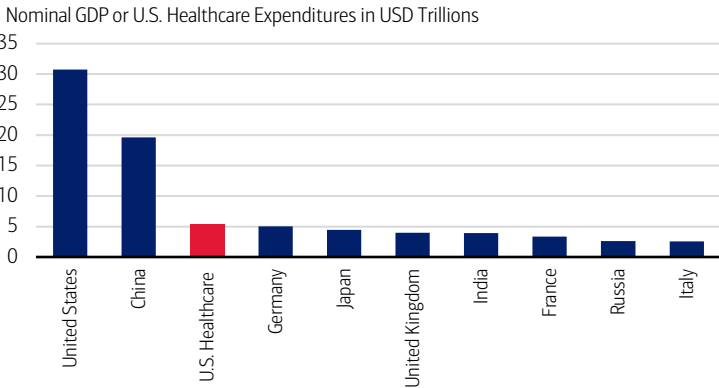
America’s entrepreneurial DNA empowers startups, enables innovation, fosters competition, creates opportunities and challenges incumbents. It’s our secret sauce that encourages more productivity, a more diversified economy, and more wealth-creation. The bottom line: In a world rife with tumult and uncertainty, it is imperative that investors understand that no economy takes the blows and punches better than the U.S., creating, in our opinion, favorable long-term investment opportunities.

Exhibit 1: The U.S. Economy’s Four Pillars of Strength.

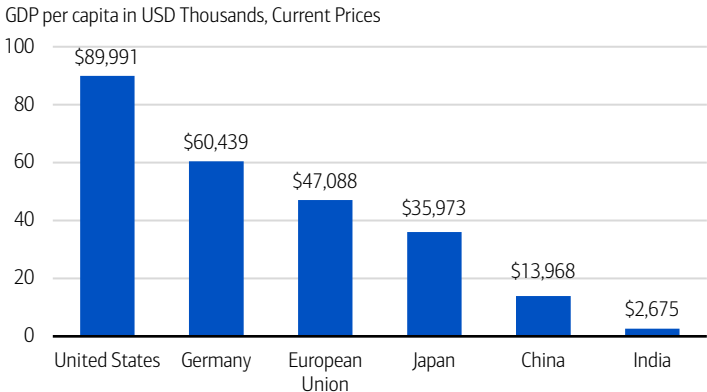
A) America is the Most Productive Economy in the World.



B) Sector Heavyweight: U.S. Healthcare Industry is the Third Largest Economy.



C) America is Extraordinarily Wealthy.



D) Here Today, Gone Tomorrow.

Top 10 U.S. Companies by Market Cap

	2000		2026	
	Company	Market Cap (\$B)	Company	Market Cap (\$B)
1	Microsoft	601	NVIDIA	4,901
2	General Electric	507	Alphabet	4,120
3	Cisco Systems	355	Apple	3,967
4	Walmart	308	Microsoft	3,139
5	Intel	275	Amazon	2,694
6	Pfizer	205	Broadcom	1,925
7	Exxon Mobil	196	Meta	1,748
8	IBM	192	Tesla	1,503
9	Citigroup	187	Bershire Hathaway	1,023
10	Time Warner	168	Walmart	1,016

Exhibit 1A) Sources: International Labor Organization; World Bank; IMF. Data refers to 2025, as of April 14, 2026. Exhibit 1B) Sources: IMF; Centers for Medicare & Medicaid Services. U.S. healthcare estimate refers to 2024; GDP numbers refer to 2025. Data as of April 14, 2026. Exhibit 1C) Source: IMF. Data refers to 2025, as of April 14, 2026. Exhibit 1D) Source: Bloomberg. 2000 data as of January 1, 2000. 2026 data as of April 17, 2026.

Equities Unfazed by Uncertainty

Emily Avioli, Vice President and Investment Strategist

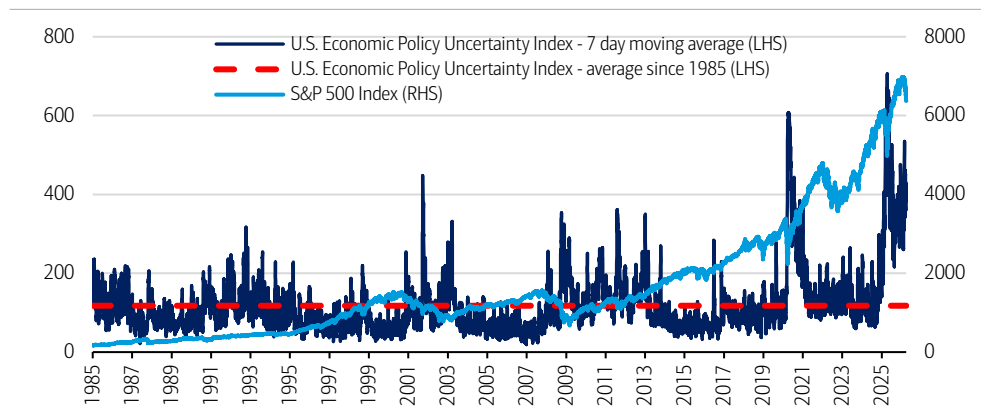
Uncertainty is a defining feature of today's investment landscape: Geopolitical risk looms large, oil prices remain volatile, midterm elections are quickly approaching, the outlook for Federal Reserve (Fed) policy is increasingly murky, and questions about the disruptive power of artificial intelligence (AI) continue to evolve.

By some measures, today's backdrop ranks among the most uncertain in modern history. So far in 2026, the U.S. Economic Policy Uncertainty Index has been above 300—2.5 times its historical average—approximately 66% of the time.³ For perspective, the index has breached this threshold only about 4% of the time since 1985 (Exhibit 2). The Caldara-Iacoviello Geopolitical Risk Index, a measure of adverse geopolitical events, surged well above its historic average in Q1.⁴ Additionally, the Council on Foreign Relations reports that the number of global armed conflicts is currently the highest since the end of World War II.⁵

Investment Implications

The fog of uncertainty is likely to continue to cloud the investment outlook moving forward. Long-term investors should continue to focus on fundamentals and maintain the highest level of diversification in portfolios.

Exhibit 2: U.S. Economic Policy Uncertainty Is Elevated....



Sources: Bloomberg; Baker, S. R., Bloom, N., & Davis, S. J. Economic Policy Uncertainty Research. Data as of March 31, 2026.

Past performance is no guarantee of future results. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

And yet, against this backdrop, Equities have shown remarkable resilience. The S&P 500 recently rebounded from the brink of correction territory in just 11 days, erasing a 9% drawdown and reaching a new all-time high above the elusive 7,000 level. Over the same period, the technology-heavy NASDAQ Composite Index rose by a staggering 15.5%. It was the best 11-day stretch for both indexes since March 2022. Meanwhile, the Chicago Board Options Exchange's (CBOE) Volatility Index (VIX)—often referred to as the market's "fear gauge"—swiftly retreated from a late-March peak of 31.1 to below the 20.0 level, near where it stood prior to the escalation in Iran.⁶

With geopolitical tensions unresolved and headline risks simmering, it's reasonable to ask why Equity markets have resumed their grind higher. The answer is nuanced. First, it's important to note that this pattern is not without precedent—periods of elevated uncertainty have tended to coincide with strong forward equity returns throughout history. Since 1985, when the seven-day moving average of the U.S. Economic Policy Uncertainty Index exceeded 300, the S&P 500 has delivered average price returns of roughly 15% over the subsequent six months and 29% over the subsequent 12 months—well above returns observed following periods of lower uncertainty (Exhibit 3).

There are a few factors that help to explain this counterintuitive dynamic. Elevated levels of uncertainty often coincide with more cautious investor positioning, higher cash

³ Bloomberg, Baker, S. R., Bloom, N., and Davis, S. J., U.S. Economic Policy Uncertainty Index. Refers to average since 1985. Data as of March 31, 2026.

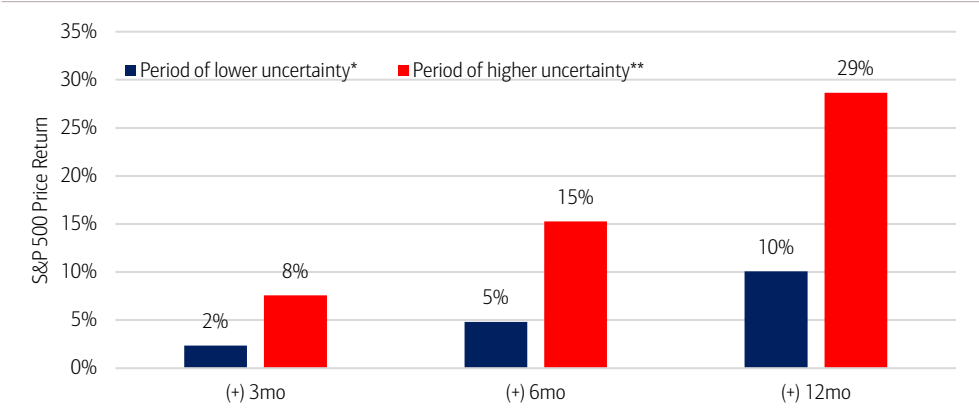
⁴ Bloomberg, Caldara, D. and Iacoviello, M., Geopolitical Risk Index. Monthly data as of March 31, 2026.

⁵ Council on Foreign Relations. December 18, 2025. Latest data available.

⁶ Bloomberg. Data as of April 22, 2026. Price returns referenced.

balances, and lower levels of sentiment, all of which can leave stocks underowned and more responsive to incremental positive news. Some of those contrarian indicators became more prevalent in the weeks before the recent equity rally, aiding in the clawback.

Exhibit 3: ...Which Historically, Has Not Been Bad For Equities.



*Seven-day moving average of the U.S. Economic Policy Uncertainty Index ≤ 300 . **7-day moving average of the U.S. Economic Policy Uncertainty Index > 300 . Sources: Bloomberg: Baker, S. R., Bloom, N., & Davis, S. J. Economic Policy Uncertainty Research. Data as of March 31, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

As of early April, the BofA Global Research Fund Manager Survey showed that fund manager cash levels were at the highest level since May 2025, and sentiment was at the most bearish level since June 2025. The rally also came on the heels of a meaningful valuation compression, with the S&P 500 forward price-to-earnings ratio briefly dipping below 20.0x in late March,⁷ potentially representing an attractive entry point for those looking to deploy excess dry powder.

At the same time, today’s equity market resilience reflects the strength of underlying fundamentals. Even amid unrelenting uncertainty and persistent headline risk, the “hard” earnings and economic data remain broadly positive. The start of earnings season has been encouraging, with the S&P 500 on track for a sixth consecutive quarter of double-digit year-over-year (YoY) earnings-per-share (EPS) growth and approximately 18.5% YoY EPS expansion for the full year 2026.⁸ Margins remain healthy, and earnings strength is expected to broaden across sectors. Importantly, forward guidance has been relatively unscathed by the recent conflict thus far. Earnings estimates for the S&P 500 have actually been revised higher since March 31, according to FactSet.

The macroeconomic backdrop remains supportive as well. Weekly initial jobless claims continue to hover around 200,000, near multiyear lows. The U.S. economy added an above-estimated 178,000 jobs in March, while the unemployment rate ticked down to 4.3%. Consumer spending remains bifurcated but is resilient overall, with Bank of America Institute data showing that total debit and credit card spending excluding gasoline saw healthy growth of 3.6% YoY in March.⁹ U.S. retail sales tell a similar story—the overall value of purchases rose by 1.7% month-over-month (MoM) in March—the biggest monthly increase in a year—underscoring that consumers still have the wherewithal to spend. U.S. GDP estimates have been modestly reduced since the Middle East conflict began in late March, but the Atlanta Fed GDPNow tracker is still calling for growth of 1.2% in Q1.

Risks have notably increased in recent weeks, and the outlook will likely be clouded by unknowns for some time. Even so, recent market activity suggests that that uncertainty alone is not sufficient to derail the secular bull market. In a world where uncertainty has become the new normal, staying anchored to fundamentals may be a sound strategy for long-term investors.

⁷ Bloomberg. Data as of April 22, 2026.
⁸ FactSet. Data as of April 22, 2026.
⁹ Bank of America Institute. April 10, 2026.

Small but Mighty: Why Small-Caps are Leading the Charge

Theadora Lamprecht, Assistant Vice President and Investment Strategist

Small-cap Equities have emerged as one of the market's standout performers this year. The Russell 2000 has gained 12% this year, materially outperforming the S&P 500, which has risen just 5%.¹⁰ This renewed strength is notable given that sustained higher rates and macro uncertainty would typically be expected to favor larger, more defensive companies.

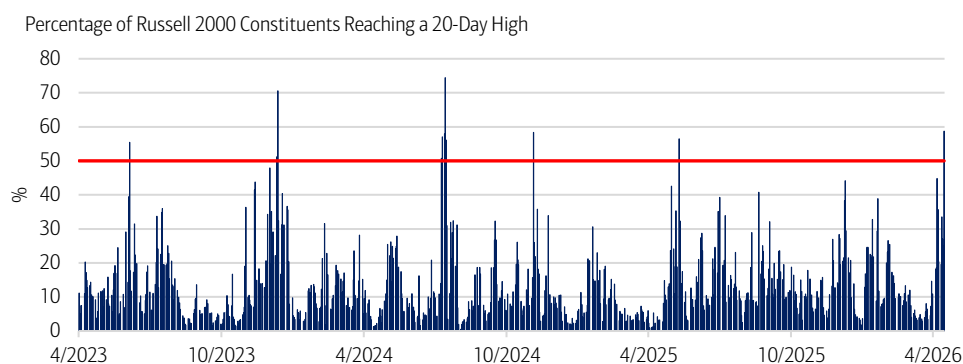
After briefly breaching correction territory (down roughly 11%) on March 30, the Russell 2000 has staged an impressive rebound since then, rallying approximately 15%,¹¹ climbing to a new all-time high last week, and is on pace for its strongest monthly advance (12%¹² month-to-date) since December 2023, where it gained 12%. On a short-term basis, the index closed higher in 12 of 13 sessions in April marking its strongest streak since 2020.¹³ Beneath the surface, breadth has also strengthened meaningfully. 59% of Russell 2000 constituents recently reached new 20-day highs, compared to 47% of S&P 500 members (Exhibit 4). This marks the best reading above 50% since mid-2024. Several catalysts help explain their improving backdrop.

Small-caps are benefiting from easing inflation pressures and renewed expectations for Fed rate cuts following the ceasefire-driven pullback in oil prices, as they are more sensitive to borrowing costs and domestically oriented growth. Valuations also remain attractive, with small-caps trading below historical averages and at a steep discount to large-caps. Together with recent outperformance, this suggests a broader market rotation away from mega-cap technology toward more cyclical segments of the market.

In light of the evolving situation in Iran, a rise in oil prices wouldn't necessarily be a headwind for small-caps. According to BofA Global Research, small-caps have roughly 2X greater exposure to industries that benefit from higher oil prices, such as Energy and Capital Goods, than those hurt by rising oil costs. Moreover, since the start of the war, 2026 consensus EPS estimates for small-caps have been revised higher by 2%, with earnings growth for small- and mid-caps now expected to be 20% versus approximately 17% for large-caps.

Taken together, improving breadth, supportive macro tailwinds, positive earnings trends and still-attractive valuations suggest the recent leadership from small-caps may be more than a short-term bounce and could have further room to grow.

Exhibit 4: Strength Building in Small-Cap.



Sources: Bloomberg; Strategas Research Partners. Data as of April 17, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

¹⁰ Bloomberg. Data as of April 24, 2026.

¹¹ Ibid.

¹² Ibid.

¹³ Bloomberg. Data as of April 17, 2026.

Investment Implications

We remain overweight Small-caps as they are an attractive way to participate in a broadening equity market beyond the mega-cap names that have dominated in recent years. Small-caps can provide diversification benefits and are well positioned if leadership continues to rotate toward more cyclical and domestically- oriented areas of the market. They have the potential opportunity for investors seeking both value and upside participation as we move through the year.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	49,230.71	-0.4	6.3	2.9
NASDAQ	24,836.60	1.5	15.1	7.0
S&P 500	7,165.08	0.6	9.8	5.1
S&P 400 Mid Cap	3,641.32	-0.1	7.9	10.6
Russell 2000	2,787.00	0.4	11.7	12.7
MSCI World	4,632.83	-0.3	8.9	5.0
MSCI EAFE	3,021.80	-2.7	6.8	5.4
MSCI Emerging Markets	1,610.00	0.8	15.4	15.2

Fixed Income[†]

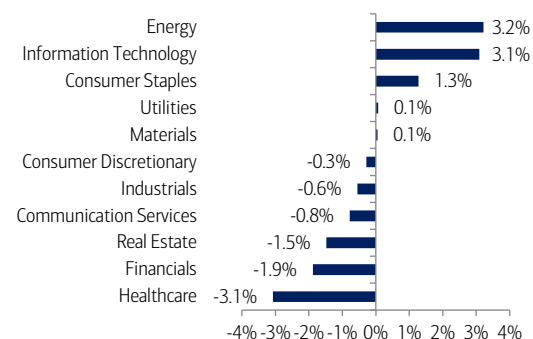
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.43	-0.24	0.62	0.42
Agencies	4.17	-0.11	0.41	0.63
Municipals	3.60	0.03	1.50	1.32
U.S. Investment-Grade Credit	4.51	-0.26	0.62	0.57
International	5.03	-0.27	1.05	0.51
High Yield	6.90	-0.19	1.78	1.28
90 Day Yield	3.67	3.68	3.67	3.63
2 Year Yield	3.78	3.71	3.79	3.47
10 Year Yield	4.30	4.25	4.32	4.17
30 Year Yield	4.91	4.88	4.91	4.84

Commodities & Currencies

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Commodities				
Bloomberg Commodity	346.75	3.6	0.9	25.5
WTI Crude \$/Barrel ^{††}	94.40	12.6	-6.9	64.4
Gold Spot \$/Ounce ^{††}	4709.5	-2.5	0.9	9.0

	Total Return in USD (%)			
	Current	Prior Week End	Prior Month End	2025 Year End
Currencies				
EUR/USD	1.17	1.18	1.16	1.17
USD/JPY	159.38	158.64	158.72	156.71
USD/CNH	6.83	6.82	6.89	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 04/20/2026 to 04/24/2026. [†]Bloomberg Barclays Indices. ^{††}Spot price returns. All data as of the 4/24/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 4/24/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.5*	2.5	1.9	1.9	2.3	2.2
CPI inflation (% y/y)	2.7	4.1	3.8	3.6	3.6	2.3
Core CPI inflation (% y/y**)	2.5	2.8	2.7	2.9	2.7	2.6
Unemployment rate (%)	4.3	4.5	4.5	4.4	4.4	4.3
Fed funds rate, end period (%)	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.** A = Actual. E/* = Estimate. Data as of April 24, 2026.

Sources: BofA Global Research; GWIM ISC as of April 24, 2026.

Asset Class Weightings (as of 4/7/2026)

Asset Class	CIO View		
	Underweight	Neutral	Overweight
Global Equities	•	•	•
U.S. Large-cap Growth	•	•	•
U.S. Large-cap Value	•	•	•
U.S. Small-cap Growth	•	•	•
U.S. Small-cap Growth	•	•	•
International Developed	•	•	•
Emerging Markets	•	•	•
Global Fixed Income	•	•	•
U.S. Governments	•	•	•
U.S. Mortgages	•	•	•
U.S. Corporates	•	•	•
International Fixed Income	•	•	•
High Yield	•	•	•
U.S. Investment-grade Tax Exempt	•	•	•
U.S. High Yield Tax Exempt	•	•	•
Alternative Investments			
Hedge Strategies			
Private Equity			
Private Credit			
Real Assets			
Cash			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of April 7, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

CIO Equity Sector Views

Sector	CIO View		
	Underweight	Neutral	Overweight
Financials	•	•	•
Consumer Discretionary	•	•	•
Industrials	•	•	•
Utilities	•	•	•
Energy	•	•	•
Information Technology	•	•	•
Healthcare	•	•	•
Materials	•	•	•
Real Estate	•	•	•
Consumer Staples	•	•	•
Communication Services	•	•	•

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500/S&P 500 Price Return Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

U.S. Economic Policy Uncertainty Index is an index constructed based on newspaper articles regarding policy uncertainty from leading newspapers.

Caldara-Iacoviello Geopolitical Risk Index measures adverse geopolitical events and associated risks based on a tally of newspaper articles covering geopolitical tensions, and examine its evolution and economic effects since 1900.

NASDAQ Composite Index is a stock market index that tracks over 3,000 companies listed on the Nasdaq stock exchange. It is heavily weighted toward technology, biotechnology, and growth-oriented companies.

Chicago Board Options Exchange's Volatility Index is a leading measure of market expectations of near-term volatility conveyed by S&P 500 Index®(SPX) option prices.

Russell 2000 Index is a premier stock market benchmark that tracks the performance of approximately 2,000 small-cap U.S. companies.

Important Disclosures

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

April 20, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—A Secular Bull Market In Earnings: Accelerating technological progress is bullish for the outlook for earnings and living standards. This is not a new phenomenon. It's the reason behind the relentless march higher in living standards. What's new is the speed of progress which keeps increasing. Artificial Intelligence (AI) represents the inflection point known as the "singularity" when machine intelligence rivals and ultimately exceeds biological human intelligence, causing this progression to move at warp speed. Equity ownership is a major way to participate in this progress and we remain overweight.

Market View—Asian Markets and the Energy Shock—Staying Constructive: Since the ceasefire announcement earlier this month, investors appear to have discounted the peak in escalation risk for the Middle East conflict and global risk appetite has recovered. Equity markets have also risen in Asia, despite their greater exposure to the energy shock than other regions. We remain constructive on both Japan and Emerging Markets (EM) in Asia. And even with oil and gas prices likely to stay higher for longer in the wake of the conflict, we continue to see a number of counterweights to energy-driven economic pressures in the region.

Thought of the Week—Some Quick Thoughts on the U.S. Federal Budget Deficit: A frequently asked question from investors is the following: What is the status of America's finances? Our short answer: more manageable than precarious but worth watching as the U.S. and the world shift toward higher sovereign debt levels and rising government borrowing costs. The encouraging news is that, at 5.2% of gross domestic product (GDP) on a trailing 12-month basis, the deficit/GDP ratio isn't far off the long-term average of 4.6% for this century and has improved over the past year due to the narrowing of the federal budget deficit. The more sobering news is that there isn't much fiscal runway after accounting for defense, net interest payments, Social Security, Medicare and Medicaid, which consumed 75% of outlays over the last 12 months. With larger defense outlays and fading tariff revenue, the deficit for fiscal year (FY) 2026 could widen from here. Still, U.S. public sector debt remains manageable, in our opinion, supported by the most dynamic and resilient economy in the world. We continue to watch but not worry over the federal budget deficit.

AUTHORS

Chief Investment Office
Macro Strategy Team

Ehiwario Efeyini
Director and Senior Investment Strategist

Joseph P. Quinlan
Managing Director and Head of Market Strategy

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Portfolio Considerations

The overall growth outlook remains largely unchanged for now, though a prolonged war could pressure discretionary spending through higher energy, commodity, and food prices. Despite recent volatility, U.S. Equities remain preferred given economic resilience and easing valuations. Fixed Income remains constructive but underweighted to support an Equity overweight, with neutral duration and expectations for range-bound yet potentially volatile yields amid sticky inflation, steady GDP growth, and upcoming Fed leadership changes.

Our sector positioning reflects reduced Utilities exposure after valuation-driven outperformance, continued confidence in resilient consumers, positive outlooks for Financials, and selective increases to Energy.

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A Secular Bull market In Earnings

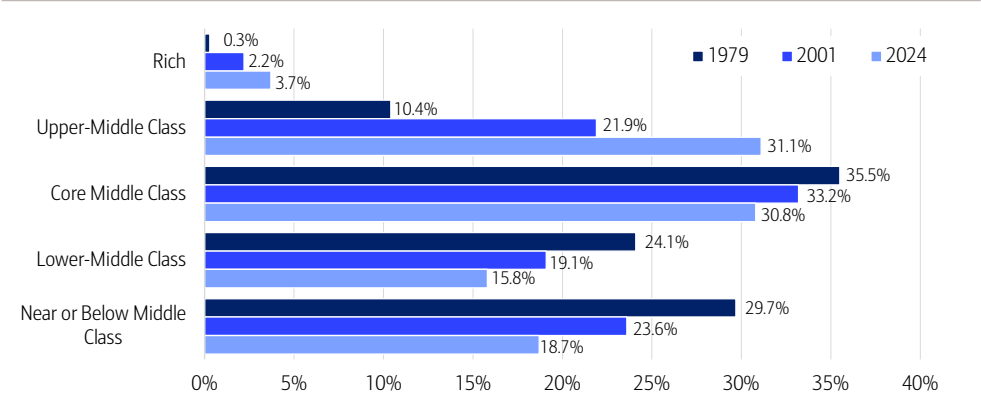
Chief Investment Office, Macro Strategy Team

The University of Michigan consumer sentiment measure hit an all-time low in early April. News reports are full of contentious and worrisome signs of what's wrong with the world and what could get even worse. Polls show the majority of Americans feel the country is headed in the wrong direction. There is a widespread belief that things are going downhill and that the next generation faces insurmountable obstacles to achieving the American dream. This downbeat view is often reinforced by the widespread perception of a shrinking middle class.

What's odd about all this conventional wisdom of pessimism is irrefutable evidence to the contrary. While each new generation likes to complain about how hard times are, the fact is living standards keep improving, incomes keep rising and people keep getting richer. They are living longer. Despite the human tendency toward pessimism technological progress is an unrelenting force for longer lives, more leisure time and better health.

This trend toward higher income and a wealthier future has been confirmed by a recent study. It turns out the widespread belief in the shrinking middle class is not the result of more people falling into poverty. Rather more people are moving into the upper income echelons (Exhibit 1). From 1979 until 2024, the share of households that are rich or in the upper middle class rose from just over 10% to about 35%. The share of below or lower middle-class households dropped dramatically from over half to about a third. A major reason behind this surge in upward income mobility is the big increase in female labor force participation and college education. In 1970 just over 10% of women had college degrees. Today, it is more like 40%. Dual-income households dominate the rise into the upper income ranks according to the study.

Exhibit 1: More Rich Households Fewer Near or Below Middle-class Households



Source: American Enterprise Institute. Data as of April 14, 2026.

Earnings Driving Income Growth. As society becomes richer, it's natural for capital income to become a bigger share of the pie, while labor's share drops and people enjoy more leisure time. Travel-and-leisure themed stocks have been one of the top performing areas of the market in recent years. This is a mega theme.

Concurrently with the rise in wealthier households has been a drop in the labor share of income to less than half the pie with capital income comprising more and more. The acceleration in technological progress is making the capital share grow even faster. Companies on the forefront of technology have much higher margins, lower labor cost shares and a bigger and bigger piece of the earnings pie.

Investment Implications

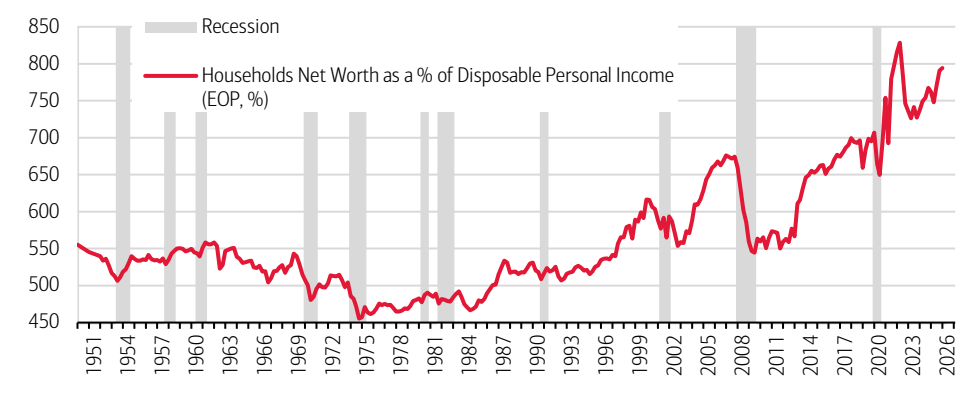
The bull market in earnings shows no signs of ending despite all the headlines around geopolitical risks. The trends that dominated relative performance before the Iran War began have reemerged as war concerns are dissipating. These include relative outperformance by Small-caps, certain international, and resource stocks. In our view, a pro-cyclical focus has also resumed after the brief correction in these trends.

It's amazing given all the angst generated by recent events that the earnings outlook continues to surprise to the upside. First quarter earnings reports to date show no sign of let-up. According to Yardeni Research, analysts' estimates currently see S&P 500 operating earnings per share rising by 19.3% in 2026 and 16.7% next year. The average annual growth rate since 1993 is 8.8%. A natural question is how long earnings can grow essentially twice as fast as this long-term average.

The answer depends on whether this earnings bonanza is powered by a structural shift with long-term staying power or simply a typical cyclical peak in earnings that will likely be reversed by a downturn in the next recession. While there are certainly cyclical forces that could cause some reversion toward the mean over time, historical models don't account for the secular shift into a new AI world with the potential for capital income taking a much bigger share of the income pie. In the extreme, this implies further increases in already record margins and an earnings explosion over the next decade. While the creep higher in capital income to date has already pushed margins into record territory, the transition into an AI world has the potential to accelerate the positive earnings and margin trends.

Another aspect of this new capital-income-dominated world is the rising ratio of wealth to income, which dates to the beginning of the internet. As the stock of wealth rises relative to disposable personal income, it implies that households have a bigger reservoir of future income to draw on when needed. The aging population helps drive this trend as people accumulate savings for their nonworking retirement years. This makes the economy more vulnerable to big fluctuations in asset values like Equity prices, as many bearish analysts are fond of noting. It also, however, makes aggregate demand less vulnerable to cyclical downturns because a deep pool of savings can be drawn on for a rainy day. In essence, it helps smooth out the economy's cyclicality.

Exhibit 2: Higher Wealth to Income Ratio Reflects Transition from Labor to Capital Income.



Source: Federal Reserve Board/Haver Analytics. Data as of March 19, 2026.

The rising level of wealth to income helps prevent recessions. This is one reason why the economy spends so much less time in recession compared to the past. Technological progress has reached an inflection point that is propelling faster earnings growth and promising more leisure time and an abundant future. For investors, owning a well-diversified mix of the companies that are taking us into this promising future is an important component of a prudent investment strategy in our view. We remain overweight Equities.

Asian Markets and the Energy Shock—Staying Constructive

Ehiwario Efeyini, *Director and Senior Investment Strategist*

Since the ceasefire announcement earlier this month, investors appear to have discounted the peak in escalation risk for the Middle East conflict, and global risk appetite has recovered. Equity markets have posted strong gains even as energy production, shipping volumes and insurance rates have remained stressed, and as oil and gas prices have come off their highs but stayed well above pre-conflict levels.

In Asia, the region most exposed to the energy shock, equity markets have also risen. Asian economies are reliant on imports for the majority of their oil and gas supply, including higher-income countries such as Korea, Taiwan, Hong Kong, Singapore and Japan, which import virtually all their hydrocarbon consumption and rely heavily on transit through the Persian Gulf. In the weeks since the start of the conflict, this has resulted in bouts of energy rationing, increased household subsidies and service curtailment in industries such as air travel and hospitality. We have remained constructive on both Japan and EMs in Asia in large part due to their significant exposure to enablers of the global expansion in data center investment. And indeed, the Technology sector (the largest by market capitalization weight in Asia) has led the regional recovery over recent weeks. But aside from its links to growth in AI, we see a number of additional counterweights to energy-driven economic pressures in the Asia region.

As a major net exporter of both oil and gas, Malaysia has been a direct beneficiary of the rise in prices, with its local equity market outperforming over the past two months. Indonesia has benefitted from its trade surplus in natural gas. And demand for its coal exports has also increased as the conflict boosts thermal coal usage in electricity production elsewhere in the region. Asia’s largest market, China, has been insulated in part by its large oil stockpiles which, at an estimated roughly 1.2 billion barrels, cover some three to four months of domestic supply. And it has a much lower dependence on imported oil and gas than most other markets in the region given its domestic production capacity and more diversified energy mix (Exhibit 3).

Exhibit 3: China Less Dependent on Imported Oil and Gas than Other Markets in Asia.

Energy supply by source (Share of total energy supply)

	Coal	Oil	Natural gas	Nuclear	Renewables	Hydropower	Biofuels and waste	Oil + Gas
China	61%	18%	8%	3%	4%	3%	3%	26%
India	46%	25%	5%	1%	2%	1%	20%	30%
Korea	22%	37%	20%	17%	1%	0%	2%	56%
Taiwan	35%	34%	24%	4%	2%	0%	2%	58%
Hong Kong	34%	27%	38%	0%	0%	0%	2%	65%
Singapore	1%	65%	32%	0%	0%	0%	2%	96%
Japan	26%	37%	21%	7%	3%	2%	5%	57%

Source: International Energy Agency. Data as of 2024 (latest available).

In the wake of the crisis, China is also well positioned for an expected increase in global demand for renewable energy hardware such as solar panels, wind turbines and batteries as countries look to strengthen their domestic energy security. And just as the oil shocks of the 1970s lifted demand for fuel-efficient autos made in Japan, the current conflict is likely to reinforce global electric vehicle (EV) adoption—a further support for China as the world leader in EV manufacturing.

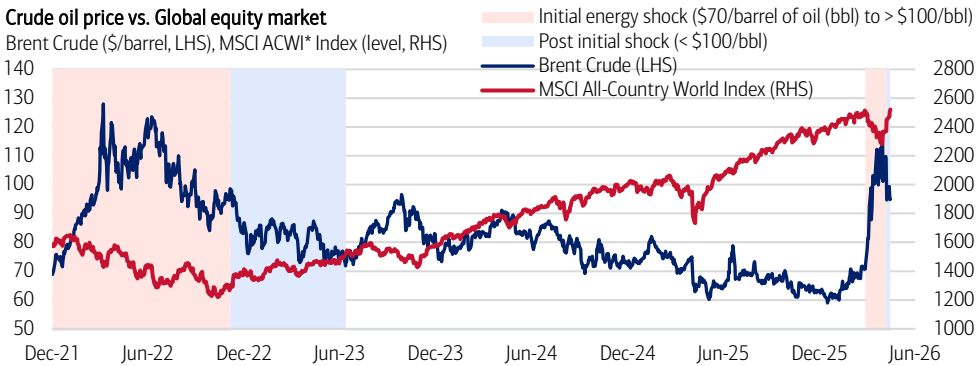
As we had emphasized when the Federal Reserve was rapidly hiking interest rates in 2022 and 2023, emerging Asian markets today are also much less vulnerable to external shocks than they have been in previous cycles. In most cases they have much stronger current account positions (80% of regional market capitalization came into 2026 in outright surplus) and much larger central bank reserves than in the past. And therefore, the local currency and equity market declines have been smaller than in other balance of payments shocks such as the late ‘90s Asian financial crisis or the 2015 taper tantrum. In effect their trade surpluses from export revenues in other sectors have cushioned the impact from deteriorating terms of trade in energy, preventing the type of funding stress that has historically led to crises and much deeper selloffs.

Investment Implications

We see a range of offsets to the energy shock that keep our constructive view of the Asia region intact. Ongoing expansion of global AI infrastructure investment remains a tailwind for key enablers of the data center buildout. Export exposure to oil, gas and coal benefits select local producers. China is insulated by local stockpiles, diversified supply sources and domestic capacity in clean energy. And local funding stress across the region should remain limited.

No two episodes are directly comparable, but with oil futures and industry analysts projecting further moderation in prices but still elevated price levels over the remainder of the year, investors might look to the 2022 energy shock for parallels. After the initial spike, Brent crude oil prices in 2022 reached a higher peak of close to \$130 per barrel and maintained levels close to or above the \$100 threshold until the latter part of the year, producing a larger decline in Asian equity markets (Exhibit 4). But Equities subsequently staged a strong and sustained recovery (with EM Asia and Japan outpacing the S&P 500) as the oil price eventually eased back below \$100, despite staying above its pre-conflict levels for the next seven to eight months. Similarly in 2026, Asian equity markets sold off sharply in the initial phase of the conflict but have led the global rally since crude prices fell back below \$100 after the April 7 ceasefire announcement. And the parallel to watch in the current environment as investors continue to look past the peak in escalation risk could be ongoing strength in Asian Equities, even if energy prices remain higher for longer over the coming months and normalize only gradually.

Exhibit 4: Equity Market Recoveries After Initial Energy Price Shock—2022 and 2026.



		MSCI EM Asia	MSCI Japan	MSCI Europe	S&P 500
Russia-Ukraine Conflict (2022)	Initial energy shock (\$70/bbl to > \$100/bbl)	-29.2%	-23.0%	-19.1%	-15.2%
	Post initial shock (< \$100/bbl)	18.4%	25.7%	23.2%	16.3%
Iran Conflict (2026)	Initial energy shock (\$70/bbl to > \$100/bbl)	-9.8%	-8.9%	-8.2%	-3.7%
	Post initial shock (< \$100/bbl)**	8.8%	4.5%	6.7%	6.2%

*MSCI All-Country World Index. **Since 4/7/2026 ceasefire announcement. Sources: Bloomberg; Chief Investment Office. Data as of April 15, 2026. Total returns in USD. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. it is not possible to invest directly in an index.

Beyond the risks to output, consumption and terms of trade, higher inflation and interest rates could also pose a challenge for Asian markets in the wake of the energy shock. But here too we see less cause for concern than markets might expect. Compared to the levels of early 2022, inflation rates across the region remain contained, with most countries in the low single digit range or even slightly negative. And crucially most are well below their central bank targets, limiting the need for rate hikes in response to higher energy prices. By contrast, inflation across many developed markets has already exceeded central bank targets, causing investors to price out interest rate cuts or even consider outright rate hikes. The main exception has been the Bank of Japan, which more than others has placed a greater emphasis on the disinflationary effects of the energy shock, signaling plans to delay a rate increase that had been expected later this month.

For both emerging and developed Asian markets, we therefore see a range of offsets to the energy shock that keep our constructive view of the region intact. Ongoing expansion of global AI infrastructure investment remains a tailwind for key enablers of the data center buildout, particularly in Korea and Taiwan. Export exposure to oil, gas and coal benefits producers in Malaysia and Indonesia. China is insulated by buffers from local stockpiles and diversified sources of supply, as well as its domestic capacity in clean energy equipment manufacturing. Across the region, balance of payments strength as well as a lack of pressure to raise interest rates should also limit local funding stress. And assuming no reescalation in the conflict, the 2022 experience suggests that equity markets can deliver additional gains even if energy prices remain elevated.

Some Quick Thoughts on the U.S. Federal Budget Deficit

Joseph P. Quinlan, Managing Director and Head of Market Strategy

A frequently asked question from clients is the following: What is the status of America’s finances? Our short answer: more manageable than precarious but worth watching and monitoring as the U.S. and the world shift toward higher sovereign debt levels and rising government borrowing costs.

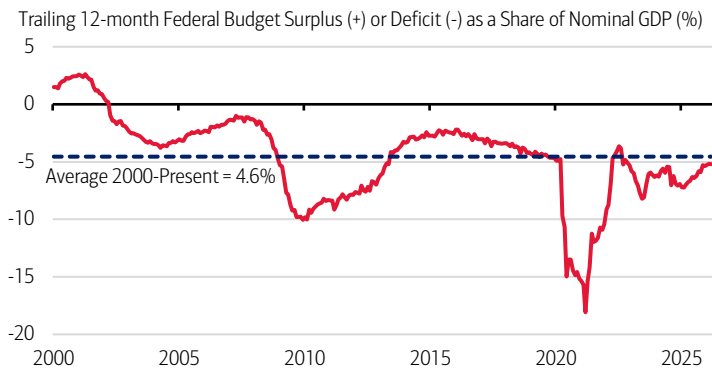
Exhibit 5A provides a snapshot of the U.S. federal budget deficit as a percentage of GDP. The encouraging news: At 5.2% of GDP on a trailing 12-month basis, the deficit/GDP ratio isn’t that far off from the long-term average of 4.6% for this century. The ratio has actually improved over the past year owing to the narrowing of the federal budget deficit. To wit, in the first six months of FY 2026 (October 2025-March 2026), the budget deficit totaled \$1.2 trillion. That amount is \$139 billion less than the deficit recorded during the same period a year ago and represents a 10.6% reduction. Revenues rose by \$222 billion (or 10%), while outlays increased \$84 billion (or 2%).

Now for the more sobering news: There isn’t much fiscal runway after accounting for spending on defense, net interest payments on debt, Social Security, Medicare and Medicaid (Exhibit 5B). Outlays for the five largest mandatory spending programs consumed 75% of outlays over the past 12 months, with spending on Social Security benefits accounting for roughly 23% of outlays, followed by Medicare (14.5%), Interest payments (14.1%), defense (13.1%) and Medicaid (9.9%). In addition, the narrowing of the fiscal deficit could be a thing of the past as the provisions of the One Big Beautiful Bill Act (lower corporate taxes and fatter household refunds) kick in. And with the administration asking for larger defense outlays, and with tariff revenue fading, we wouldn’t be surprised to see the deficit for FY 2026 reverse course and begin to widen.

That is hardly worrisome, however. U.S. public sector debt as a percentage of GDP remains at around 100% of GDP—a level quite manageable, in our opinion, given that Uncle Sam’s finances are backstopped by the most dynamic and resilient economy in the world. That equates to more growth and a sustainable fiscal path forward. We continue to watch but not worry over the federal budget deficit.

Exhibit 5: A Snapshot of America’s Fiscal Health.

A) Deficit as a Share of GDP Not Far Off Historical Average.



B) Mandatory Outlays + Interest Payments + Defense = 75% of U.S. Government Outlays.

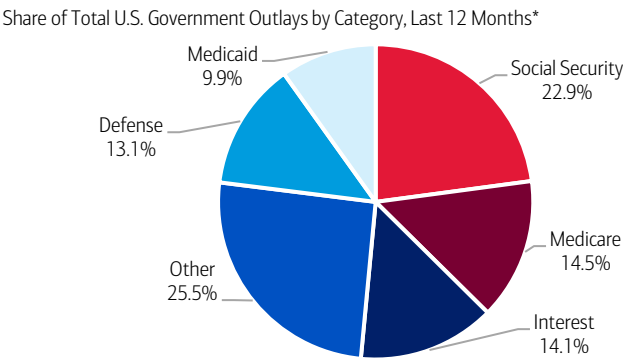


Exhibit 5A) Sources: U.S. Treasury; Congressional Budget Office; Bureau of Economic Analysis; Bloomberg. Data as of April 10, 2026. Exhibit 5B) *Refers to data from April 2025-March 2026. Source: U.S. Treasury. Data as of April 10, 2026.

Investment Implications

Gross public sector debt will remain manageable in the medium term. Foreign and domestic appetite for U.S. government debt bears watching but is unlikely to wane in our view.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	49,447.43	3.2	6.8	3.4
NASDAQ	24,468.48	6.8	13.3	5.5
S&P 500	7,126.06	4.5	9.2	4.5
S&P 400 Mid Cap	3,646.35	3.5	8.0	10.7
Russell 2000	2,776.90	5.6	11.3	12.3
MSCI World	4,650.40	4.0	9.3	5.4
MSCI EAFE	3,111.50	2.2	9.8	8.4
MSCI Emerging Markets	1,597.13	3.2	14.4	14.2

Fixed Income[†]

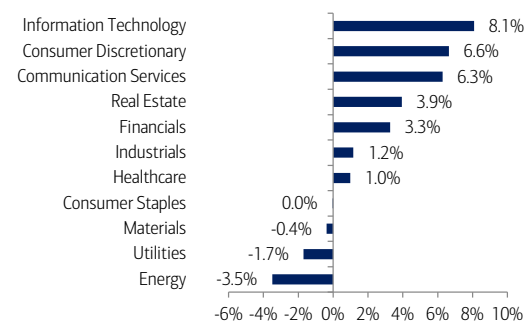
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.37	0.55	0.87	0.67
Agencies	4.12	0.38	0.52	0.74
Municipals	3.59	0.31	1.46	1.28
U.S. Investment-Grade Credit	4.45	0.55	0.88	0.84
International	4.97	0.67	1.32	0.78
High Yield	6.75	0.66	1.97	1.47
90 Day Yield	3.68	3.67	3.67	3.63
2 Year Yield	3.71	3.80	3.79	3.47
10 Year Yield	4.25	4.32	4.32	4.17
30 Year Yield	4.88	4.91	4.91	4.84

Commodities & Currencies

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Commodities				
Bloomberg Commodity	334.71	-0.4	-2.6	21.2
WTI Crude \$/Barrel ^{††}	83.85	-13.2	-17.3	46.0
Gold Spot \$/Ounce ^{††}	4830.34	1.7	3.5	11.8

	Total Return in USD (%)			
	Current	Prior Week End	Prior Month End	2025 Year End
Currencies				
EUR/USD	1.18	1.17	1.16	1.17
USD/JPY	158.64	159.27	158.72	156.71
USD/CNH	6.82	6.83	6.89	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 04/13/2026 to 04/17/2026. [†]Bloomberg Barclays Indices. ^{††}Spot price returns. All data as of the 4/17/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 4/17/2026)

	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.5*	2.5	1.9	1.9	2.3	2.2
CPI inflation (% y/y)	2.7	4.0	3.7	3.5	3.5	2.4
Core CPI inflation (% y/y**)	2.5	2.8	2.7	2.9	2.7	2.6
Unemployment rate (%)	4.3	4.5	4.5	4.4	4.4	4.3
Fed funds rate, end period (%)	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.** A = Actual. E/* = Estimate. Data as of April 17, 2026.

Sources: BofA Global Research; GWIM ISC as of April 17, 2026.

Asset Class Weightings (as of 4/7/2026)

Asset Class	CIO View				
	Underweight	Neutral	Overweight		
Global Equities	•	•	•	•	•
U.S. Large-cap Growth	•	•	•	•	•
U.S. Large-cap Value	•	•	•	•	•
U.S. Small-cap Growth	•	•	•	•	•
U.S. Small-cap Growth	•	•	•	•	•
International Developed	•	•	•	•	•
Emerging Markets	•	•	•	•	•
Global Fixed Income	•	•	•	•	•
U.S. Governments	•	•	•	•	•
U.S. Mortgages	•	•	•	•	•
U.S. Corporates	•	•	•	•	•
International Fixed Income	•	•	•	•	•
High Yield	•	•	•	•	•
U.S. Investment-grade Tax Exempt	•	•	•	•	•
U.S. High Yield Tax Exempt	•	•	•	•	•
Alternative Investments					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of April 7, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

CIO Equity Sector Views

Sector	CIO View				
	Underweight	Neutral	Overweight		
Financials	•	•	•	•	•
Consumer Discretionary	•	•	•	•	•
Industrials	•	•	•	•	•
Utilities	•	•	•	•	•
Energy	•	•	•	•	•
Information Technology	•	•	•	•	•
Healthcare	•	•	•	•	•
Materials	•	•	•	•	•
Real Estate	•	•	•	•	•
Consumer Staples	•	•	•	•	•
Communication Services	•	•	•	•	•

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

MSCI All-Country World Index is a premier benchmark representing global equity performance, covering large and mid-cap stocks across 23 developed and 24 emerging markets.

MSCI Emerging Markets Asia Index captures large and mid-cap representation across Emerging Markets (EM) countries in Asia.

MSCI Japan Index is designed to measure the performance of the large and mid cap segments of the Japanese market.

MSCI Europe Index captures large and mid cap representation across Developed Markets (DM) countries in Europe.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

April 13, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—From Balance to Strain Under an Energy Shock and Back: The U.S. economy ended 2025 with soft hiring, near potential economic growth around 2% led by firm productivity growth, and moderating inflation underpinnings. The rise in energy prices risks disrupting that fragile equilibrium. Fiscal support from One Big Beautiful Bill Act (OBBBA) along with continued strength in Artificial Intelligence (AI)-related capital spending provides a helpful offset. Still, tax refunds skew benefits toward higher income households with lower marginal propensity to consume, limiting economywide relief. Along with weaker global growth, U.S. real gross domestic product (GDP) growth could slow further from its moderate 2.1% pace in 2025. With labor demand poised to stay soft, inflation is likely to remain relatively contained by cooling wage growth and anchored longer-term inflation expectations. In our view, the balance of risks is therefore tilting toward growth. This suggests that the Federal Reserve (Fed) is likely to refocus on downside risks to activity and resume policy easing later in the year.

Market View—Thinking Long-Term: Historical Perspective on Market Volatility:

There is no shortage of unanswered questions facing markets today, and navigating an environment defined by heightened uncertainty can be challenging. However, a narrow focus on what could go wrong may leave investors at risk of missing the upside, should conditions evolve more favorably, as well as the longer-term potential opportunities that periods of volatility can create. History suggests that bouts of heightened volatility has often been transitory and that equity markets have tended to recover well before uncertainty is fully resolved. Looking back at past market behavior can help illustrate why maintaining a long-term perspective, staying invested, and adhering to a consistent investment process remain critical during uncertain periods.

Thought of the Week—Earnings Season Amid a Fragile Truce: The push-pull of headlines around the unresolved Middle East conflict remains center stage for markets. All along, earnings expectations have remained surprisingly resilient. One year forward S&P 500 earnings per share (EPS) estimates have actually risen since the conflict began, even as the index pulled back. Analysts have made limited revisions, with gains concentrated in energy-related industries and with downgrades focused on airlines and travel. Consumer fundamentals have also held up, aided by a structurally lower energy burden and a robust tax refund season. In the week ahead we look for Q1 of double-digit earnings growth despite lingering geopolitical risks.

AUTHORS

Chief Investment Office
Macro Strategy Team

Kirsten Cabacungan
Vice President and Investment Strategist

Lauren Sanfilippo
Director and Senior Investment Strategist

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Portfolio Considerations

The overall growth outlook remains largely unchanged for now, though a prolonged war could pressure discretionary spending through higher energy, commodity, and food prices. Despite recent volatility, U.S. Equities remain preferred given economic resilience and easing valuations. Fixed Income remains constructive but underweighted to support an Equity overweight, with neutral duration and expectations for range-bound yet potentially volatile yields amid sticky inflation, steady GDP growth, and upcoming Fed leadership changes.

Our sector positioning reflects reduced Utilities exposure after valuation-driven outperformance, continued confidence in resilient consumers, positive outlooks for Financials, and selective increases to Energy.

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From Balance to Strain Under an Energy Shock, and Back

Chief Investment Office, *Macro Strategy Team*

Incoming economic data have continued to indicate that the U.S. economy entered the Iran-war energy shock with growth near potential, robust productivity, tepid labor demand, and inflation between 2.4% and 3%. Sustained high energy prices risk disrupting this fragile equilibrium, with greater risks to growth than inflation, in our view.

First, while layoffs have remained low and March saw a stronger-than-expected net gain of 178,000 jobs, hiring was boosted by temporary factors, according to the Bureau of Labor Statistics. Also, employment has barely increased year to year, and it shrank outside healthcare. The decline in the unemployment rate to 4.3% has been driven by a contraction in the labor force. Consistent with cooling demand for labor, average hourly earnings growth has eased to around 3.5% year-over-year (YoY). Anecdotal recruiter data suggest that a higher share of job switchers have been accepting lower or similar pay,¹ depressing the quits rate and suggesting sustained downward pressure on wage growth (Exhibit 1A).

Business surveys tell a similar story. Small business job openings remained at moderate levels, but plans to increase compensation cooled in March,² suggesting stable but subdued labor demand with limited risk of a wage-price spiral. While the Institute for Supply Management (ISM) manufacturing and nonmanufacturing surveys stayed in growth territory in March, both remain consistent with weak employment growth for the foreseeable future (Exhibit 1B), likely containing wages and real consumer spending growth.

Business investment remains a relatively bright spot. Banks report rising demand for commercial and industrial loans from large and medium firms,³ and February capital goods orders and shipments signal solid investment momentum into 2026. Supported by strong AI-related investment, real equipment investment is seen growing at a solid 10% annualized pace in Q1, with OBBBA incentives likely providing further support. That said, a large part of AI-related equipment is imported, offsetting part of its contribution to domestic growth. Indeed, the ISM manufacturing new orders index is far from booming (Exhibit 1C).

Iran war-related global supply disruptions, geopolitical uncertainty and softening consumer purchasing power are also likely to temper momentum. Reflecting both higher inflation and fiscal constraints in an already high government-debt environment, government bond yields also rose around the world, adding to the drag on global economic activity. In addition, U.S. housing continues to struggle under the weight of higher mortgage rates and poor affordability, and domestic oil-related investment is unlikely to provide meaningful immediate support. According to the EIA,⁴ U.S. oil supply is seen plateauing through 2030 at prices below \$80 per barrel, reflecting depletion of easily accessible reserves and limited investment absent sustained higher prices.

The scale and persistence of the energy price shock are therefore critical to growth prospects. Brent crude increased by roughly \$50 per barrel during Q1, pushing gasoline prices up sharply from about \$3 per gallon. Higher energy prices act as a tax on consumers, and with gasoline expenditures roughly around \$400 billion in 2025, a sustained 30% increase to \$4.0 per gallon would redirect about \$120 billion from other spending in 2026, reducing real consumer spending growth by about 0.5 percentage points with additional negative effects from higher airplane tickets, food prices, and so on.

Investment Implications

Portfolios positioned for softer but continued growth supported by eventual rate cuts, rather than sustained inflation and recession, are likely to benefit. Diversification along with an emphasis on earnings resilience and sectors tied to real investment also make sense at this point in the cycle. Slower growth and contained longer term inflation favor duration once the energy shock fades.

¹ Wall Street Journal, March 18, 2026.

² National Federation of Independent Business.

³ Federal Reserve, Senior Loan Officer Opinion Survey, Q1 2026.

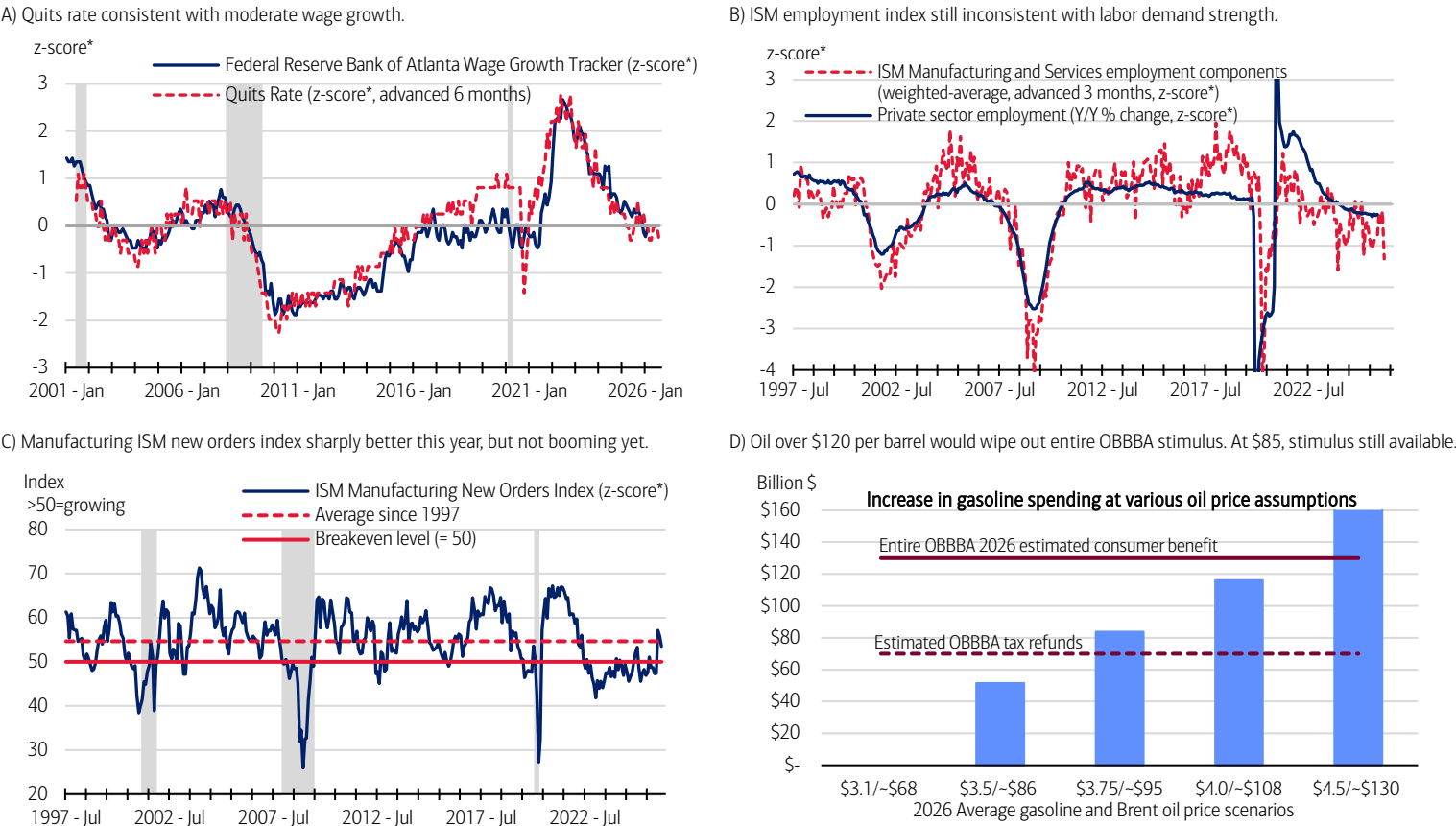
⁴ Energy Information Administration April Short-term Energy Outlook and Annual Energy Outlook 2026.

Fiscal support from OBBBA, along with continued strength in AI-related capital spending, provides a helpful offset. However, according to Oxford Economics, the OBBBA consumer stimulus—estimated at about \$130 billion for 2026, including the 2025 tax refund—is skewed toward higher-income households with a lower propensity to spend, limiting its economic growth impulse. According to EvercoreISI, even a \$3.85 average gasoline price for 2026 would wipe out the OBBBA stimulus for 80% of households. The net impact will depend on the ultimate 2026 oil price average (Exhibit 1D), with stimulus still available at \$85 to \$95 per barrel.

All in all, shielded by domestic oil production, fiscal support and strong AI-related investment, the most likely U.S. outcome is slower, but still positive, growth alongside higher near-term inflation. Each \$10 increase in oil prices is estimated to add roughly 0.2 percentage points to headline inflation, implying a potential one-time rise in the consumer price index from roughly 2.5% toward 4%. For now, real GDP growth is still expected to stay around 2% in 2026, though much softer compared to a previously anticipated gain of about 2.8%.

Soft hiring, moderate labor income growth, easing rent inflation, anchored longer-term inflation expectations, and declining consumer demand for credit⁵ suggest “core” inflation should remain relatively contained, however. We expect “core” personal consumption expenditures inflation to average somewhere between 2.5% and 2.7% in 2026, versus roughly 2.3% absent the energy shock. With growth risks likely to dominate, the Fed is likely to shift its focus back toward supporting the economy, in our view.

Exhibit 1: Unless Oil Prices Stay Over \$120 Per Barrel, Economic Conditions Are Likely To Stay “Not Too Hot, Not Too Cold” in 2026.



^{*}z-score=number of standard deviations from the mean of a data set. Gray bars represent recessionary periods. Exhibit 1A) Sources: Federal Reserve; Bureau of Labor Statistics/Haver Analytics. Data as of April 8, 2026. Exhibit 1B) Sources: ISM; Bureau of Labor Statistics/Haver Analytics. Data as of April 6, 2026. Exhibit 1C) Sources: ISM/Haver Analytics. Data as of April 6, 2026. Exhibit 1D) Source: Chief Investment Office. Data as of April 6, 2026. Past performance is no guarantee of future results. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

⁵ Federal Reserve, Senior Loan Officer Opinion Survey, Q1 2026.

Thinking Long-Term: Historical Perspective on Market Volatility

Kirsten Cabacungan, *Vice President and Investment Strategist*

There is no shortage of unanswered questions facing markets today: how durable a ceasefire in the Middle East may prove; whether diplomacy can bring the war to an end or whether further military escalation lies ahead; where oil prices will ultimately settle; how the Fed will navigate its dual mandate amid a softening labor market and elevated inflation risks; whether prolonged geopolitical instability could impact AI-related investment spending; and how the upcoming midterm elections will unfold. Navigating markets in an environment defined by heightened uncertainty can be challenging. But a narrow focus on what could go wrong may leave investors at risk of missing the upside if things go right as well as the longer-term potential opportunities that periods of volatility may create.

Equity markets have weathered geopolitical events before—from military conflicts and energy shocks to terrorism and global health crises. In most cases, these shocks arrived unexpectedly and felt deeply disruptive at the time, triggering an initial spike in volatility and a pullback in risk assets as uncertainty rose and as headlines overshadowed fundamentals. Yet history shows that these periods tended to be transitory. **Across major geopolitical events since 1962, the S&P 500 historically experienced more mixed performance in the short term, but it averaged gains of 6.6% and 9.5% over the subsequent six- and 12-month periods, respectively.⁶**

Because markets are forward-looking, recoveries have often begun as uncertainty reaches its peak rather than once clarity fully emerges. Measures of market volatility help illustrate this pattern. The Volatility Index (VIX), which reflects expected future volatility in the S&P 500, has typically spiked during periods of heightened fear and market stress. Historically, these spikes have often occurred near market inflection points and have been followed by improved Equity performance over subsequent months.

For example, following periods in which the VIX recorded a weekly close above 30, well above its long-term average near 19, the S&P 500 delivered average forward 12-month gains of approximately 22.4%, compared with roughly 8.9% following all other weekly close levels.⁷ At these moments, investors tend to start pricing in a broader range of outcomes beyond worst case scenarios, often in conjunction with supportive developments such as policy responses or evidence of corporate and macroeconomic resilience.

Importantly, this dynamic has not required risks to be fully resolved. Equity markets have often turned higher even while uncertainty persists. In fact, equity market bottoms have frequently occurred well before geopolitical conflicts reached a clear resolution. **Across the major wars since 1900, the S&P 500 has historically bottomed within the first 10% of a conflict's duration on a median basis, according to Fundstrat Research.**

Recent market history offers examples of how this dynamic has played out in real time.

In 2020, uncertainty surrounding global growth, public health outcomes and financial stability during the Covid-19 pandemic triggered a sharp bear market in the S&P 500 over the span of a little more than a month. Yet equity markets began to recover well before the economic outlook improved, supported by an aggressive and coordinated monetary and fiscal policy response. By late summer, markets had fully retraced their losses well ahead of widespread vaccine distribution and a full economic reopening. A similar pattern emerged in April 2025, when equity markets sold off following the administration's announcement of sweeping tariff measures that unsettled global trade policy. As it became clearer in subsequent weeks that negotiations and policy adjustments were possible, uncertainty began to ease and markets rebounded. In

Investment Implications

Although volatility is likely to remain elevated in the near term, our positive medium- and long-term outlook for economic fundamentals and corporate profits continues to underpin our overweight position in Equities and slight underweight in Fixed Income within multi-asset portfolios. Investors should maintain the highest level of diversification in this environment, spreading exposure across various styles, regions, sizes, and sectors.

⁶ Chief Investment Office, "Investment Insights: Market Update." Published March 1, 2026. Source: Bloomberg. Data as of January 26, 2026.

⁷ Bloomberg. Reflects VIX weekly close levels since January 5, 1990 to April 3, 2026.

both episodes, markets began recovering not when uncertainty disappeared, but when expectations began to shift at the margin.

These episodes also illustrate another critical feature of market drawdowns: Once recoveries began, they have historically unfolded far more quickly than many investors expected. **Since 1950, the average market correction—a 10% to 20% decline that did not evolve into a bear market—has unfolded relatively quickly, with the average drawdown lasting approximately three to four months and the median closer to two to three months. Recoveries have also tended to materialize within months of these troughs, with the S&P 500 returning to its prior peak roughly four months after reaching a correction low on both an average and median basis.**⁸

More importantly, forward returns following these episodes have historically been strong and consistent. **The S&P 500 was higher 100% of the time over the subsequent three-, six-, and 12-month periods following correction troughs, with average gains of 14.6%, 21.4%, and 26.1%, respectively, and median gains of 14.7%, 22.8%, and 29.3%, respectively.**

The pace of these recoveries is one reason why timing markets can be so challenging. While turning points appear clear in hindsight, periods of peak uncertainty can give way to improving fundamentals with little warning. And even more, some of the market's best days have historically tended to follow closely after its worst.

In both the 2020 and 2025 episodes, some of the S&P 500's strongest daily gains of the year occurred shortly after the market experienced its steepest declines. The cost of missing those rebounds can be significant. **For example, excluding just the 10 best-performing days would have resulted in a full-year decline of roughly 34% in 2020 and 12% in 2025, compared with positive full year returns of approximately 16% in both periods.** These patterns reinforce why maintaining discipline through periods of uncertainty has historically mattered more than attempting to time market inflection points.

While market stress can dominate investor attention in real time, history suggests it has rarely defined long term outcomes. When viewed through a longer-term lens, short-term volatility has consistently faded into the background of a durable upward trajectory for equity markets. As the investment horizon extends, the influence of short-term volatility has historically diminished. **Over every 15- and 20-year rolling period using monthly data since 1950, the S&P 500 has delivered positive annualized returns, compared with positive outcomes only about 80% of the time over rolling one year periods.**⁹

The bottom line: Thinking longer term does not mean ignoring near-term risks, rather it can help to contextualize periods of elevated uncertainty. Volatility may persist in the near term, particularly given that the second quarter of midterm election years tend to be more volatile. At the same time, the broader fundamental backdrop has not materially changed. Earnings expectations continue to rise, AI-related capital spending remains intact, and fiscal stimulus from the OBBBA is helping to cushion consumers in the near term. Taken together, the setup ahead remains constructive, particularly as political uncertainty begins to fade following midterm elections, in our view. **Historically, the S&P 500 has not declined in the 12 months following a midterm election dating back to 1938, according to Strategas Research.**

In this environment, the core principles of long-term investing become even more important. We continue to emphasize maintaining diversified portfolios, staying the course through market volatility, rebalancing thoughtfully during periods of market strength and weakness, avoiding attempts to time market inflection points, extending time horizons, and remaining anchored to a disciplined investment process.

⁸ S&P 500 corrections are defined as peak-to-trough price declines of roughly 10–20% that did not develop into full bear markets. Source: Bloomberg, Yardeni Research. Data as of March 31, 2026.

⁹ Sources: Bloomberg. Data as of March 31, 2026.

Earnings Season Amid a Fragile Truce

Lauren Sanfilippo, Director and Senior Investment Strategist

The market reaction following the two-week U.S.–Iran ceasefire agreement has oscillated between caution and euphoria. The push-pull of headlines should continue to drive markets with significant hurdles to overcome before reaching a diplomatic solution.

Perhaps surprisingly, all along earnings expectations have weathered the storm. Despite concerns that an energy price shock could weigh on growth and consumer demand and therefore corporate earnings, one year forward S&P 500 EPS estimates have actually risen since the start of the war and now sit at all-time highs (Exhibit 2A). This runs counter to the price action of the 8.7% peak-to-trough decline for the index, that has gone on to regain 7.5%. It’s also a departure from past energy shock episodes that may have led to a recession. Six weeks on, analysts were slow to materially mark down forecasts, with roughly half of estimates remaining unchanged. The marked-up industries have been the beneficiaries like energy, refiners and chemicals, while airlines and travel adjacent industries have seen downgrades.

As for the consumer buckling under an energy shock, remember this: The domestic energy apparatus is far better equipped to absorb price shocks now, and consumers are less sensitive to higher fuel costs than in prior decades. Energy accounted for just 3.6% of consumer spending in February 2026, down from nearly 6% in the early 1990s, leaving households better positioned to withstand the \$1 per gallon rise in prices at the pump since the start of the war.

The confluence of tax refund season is also helping to cushion the shock. Now past its midpoint, the Treasury has already issued roughly \$234 billion in cumulative refunds—exceeding last year’s full season total of \$225 billion (Exhibit 2B). March refunds rose 14% YoY, helping offset rising fuel costs for the time being.

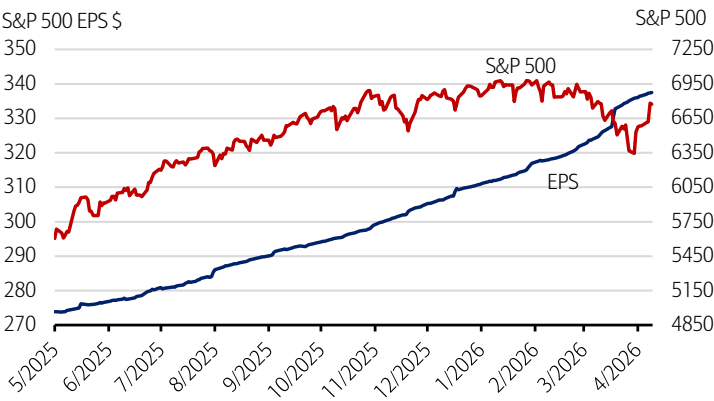
This week, heading into the Q1 earnings season, consensus still expects 12% year over year S&P 500 EPS growth, marking a sixth consecutive quarter of double-digit gains. Earnings remain relatively insensitive to oil prices in isolation; the larger risk would be a sustained disruption that materially undermines economic growth. Notably, manufacturing momentum has improved, with the ISM at its highest level since August 2022—a development that should support a continued broadening of growth and earnings participation across sectors.

Investment Implications

The recent pullback has generally improved valuations. With earnings estimates intact, energy price sensitivity lower than in past cycles, and manufacturing momentum improving, investors should consider rebalancing tactical exposures in the coming months of what is still a midterm election year.

Exhibit 2: War Adjustment to Earnings and the Index and Individual Tax Refunds Coming in Hot.

A) Multiple Contraction Behind S&P 500 Decline.



B) Tax Refunds Running Ahead of Last Season.

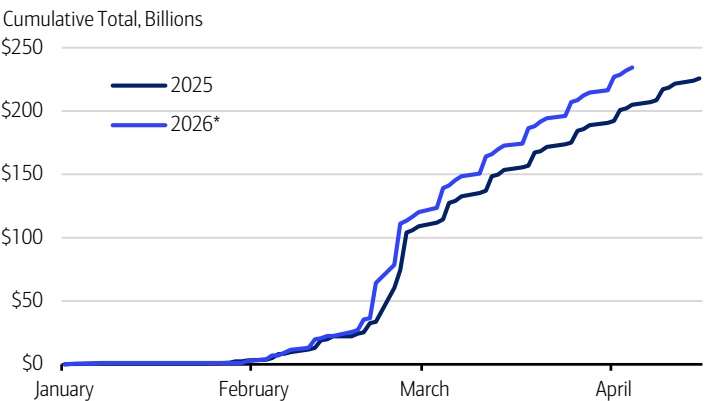


Exhibit 2A) One-year forward S&P 500 EPS estimates. Source: Bloomberg. Data as of April 9, 2026. Exhibit 2B) *Estimate. Source: U.S. Treasury. Data as of April 8, 2026. Past performance is no guarantee of future results. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	47,916.57	3.1	3.5	0.2
NASDAQ	22,902.89	4.7	6.1	-1.3
S&P 500	6,816.89	3.6	4.5	-0.1
S&P 400 Mid Cap	3,522.63	3.4	4.4	7.0
Russell 2000	2,630.59	4.0	5.4	6.3
MSCI World	4,473.96	3.7	5.1	1.4
MSCI EAFE	3,045.95	4.4	7.4	6.1
MSCI Emerging Markets	1,547.49	7.4	10.9	10.7

Fixed Income[†]

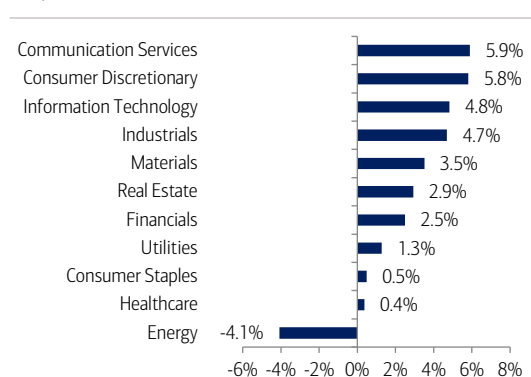
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.46	0.32	0.32	0.11
Agencies	4.20	0.22	0.13	0.36
Municipals	3.62	0.82	1.14	0.97
U.S. Investment-Grade Credit	4.54	0.33	0.33	0.29
International	5.07	0.46	0.65	0.11
High Yield	6.98	0.90	1.31	0.80
90 Day Yield	3.67	3.69	3.67	3.63
2 Year Yield	3.80	3.80	3.79	3.47
10 Year Yield	4.32	4.30	4.32	4.17
30 Year Yield	4.91	4.88	4.91	4.84

Commodities & Currencies

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Commodities				
Bloomberg Commodity	336.14	-3.6	-2.2	21.7
WTI Crude \$/Barrel ^{††}	96.57	-13.4	-4.7	68.2
Gold Spot \$/Ounce ^{††}	4749.75	1.6	1.8	10.0

	Total Return in USD (%)			
	Current	Prior Week End	Prior Month End	2025 Year End
Currencies				
EUR/USD	1.17	1.15	1.16	1.17
USD/JPY	159.27	159.67	158.72	156.71
USD/CNH	6.83	6.89	6.89	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 04/03/2026 to 04/10/2026. [†]Bloomberg Barclays Indices. ^{††}Spot price returns. All data as of the 4/10/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 4/10/2026)

	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.5	2.5	1.9	1.9	2.3	2.2
CPI inflation (% y/y)	2.7	4.1	3.7	3.6	3.5	2.4
Core CPI inflation (% y/y**)	2.6	2.9	2.8	2.9	2.8	2.6
Unemployment rate (%)	4.4	4.5	4.5	4.4	4.4	4.3
Fed funds rate, end period (%)	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.** A = Actual. E/* = Estimate. Data as of April 10, 2026.

Sources: BofA Global Research; GWIM ISC as of April 10, 2026.

Asset Class Weightings (as of 4/7/2026)

Asset Class	CIO View		
	Underweight	Neutral	Overweight
Global Equities	•	•	•
U.S. Large-cap Growth	•	•	•
U.S. Large-cap Value	•	•	•
U.S. Small-cap Growth	•	•	•
U.S. Small-cap Growth	•	•	•
International Developed	•	•	•
Emerging Markets	•	•	•
Global Fixed Income	•	•	•
U.S. Governments	•	•	•
U.S. Mortgages	•	•	•
U.S. Corporates	•	•	•
International Fixed Income	•	•	•
High Yield	•	•	•
U.S. Investment-grade Tax Exempt	•	•	•
U.S. High Yield Tax Exempt	•	•	•
Alternative Investments			
Hedge Strategies			
Private Equity			
Private Credit			
Real Assets			
Cash			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of April 7, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

CIO Equity Sector Views

Sector	CIO View		
	Underweight	Neutral	Overweight
Financials	•	•	•
Consumer Discretionary	•	•	•
Industrials	•	•	•
Utilities	•	•	•
Energy	•	•	•
Information Technology	•	•	•
Healthcare	•	•	•
Materials	•	•	•
Real Estate	•	•	•
Consumer Staples	•	•	•
Communication Services	•	•	•

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States..

Institute for Supply Management Employment Index is a component of the Manufacturing Purchasing Managers Index and reflects employment changes from industrial companies.

Institute for Supply Management Manufacturing New Orders Index shows the number of new orders from customers of manufacturing firms reported by survey respondents compared to the previous month.

Consumer Price Index is a key economic indicator that measures the average change over time in prices paid by urban consumers for a representative "basket" of goods and services, such as food, housing, and transportation.

Volatility Index (VIX) is the ticker symbol that measures the market's expectation of 30-day volatility for the S&P 500.

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Alternative Investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private-credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity and your tolerance for risk.

Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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